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THE JOURNEY TOWARDS FINANCIAL FREEDOM

A HYBRID FUND TO SUIT YOUR NEEDS

There are seven different funds to choose from, and each one is distinctly different from the other, providing you with options to select the one which meets your needs

The mutual fund landscape is vast, with several types of funds. To bring greater clarity and uniformity to mutual fund scheme categories, the Securities and Exchange Board of India (SEBI), India's mutual fund regulator, introduced guidelines to classify mutual funds into five broad categories. These categories are based on the risk and return of the investment and are designed to make mutual fund investments simpler, transparent and comparable. These five types include equity schemes, debt schemes, hybrid schemes, life cycle funds, and others, including fund of funds and passive funds such as index funds and ETFs.

A hybrid mutual fund blends multiple asset classes and invests in a combination of equity, debt, InvITs and commodity-related instruments as permitted by SEBI. Within the hybrid fund category, there are 7 sub-categories *(See: Hybrid Schemes)*, each with a distinct asset allocation strategy. A hybrid mutual fund typically allocates capital between equities with the aim of achieving capital appreciation and debt instruments to reduce volatility. This mix aims to create a resilient portfolio that can help to adapt to changing market conditions. For many investors, the appeal of this category is its simple investment route, which automatically follows a defined asset allocation rule. With these funds, investors need not manage allocations between equities and debt themselves.

HYBRID SCHEMES

CATEGORY OF SCHEMES	ASSET ALLOCATION / KEY FEATURE
Conservative Hybrid Fund	10% to 25% equity; 75% to 90% debt.
Balanced Hybrid Fund	40% to 60% equity and 40% to 60% debt only; no arbitrage permitted.
Aggressive Hybrid Fund	65% to 80% equity; 20% to 35% debt.
Balanced Advantage Fund/ Dynamic Asset Allocation Fund	Equity and debt allocation only, managed dynamically.
Multi Asset Allocation Fund	At least 10% each in at least three asset classes.
Arbitrage Fund	Minimum 65% in equity and equity-related instruments, following an arbitrage strategy.
Equity Savings Fund	Minimum 65% in equity and equity-related instruments, with net equity exposure of 15% to 40% and minimum 10% in debt.

Source: *SEBI Circular on Categorization and Rationalization of Mutual Fund Schemes*



Hybrid funds combine a variety of asset classes, such as equity, debt, InvITs, and commodity-related instruments, as permitted by SEBI, and allow investors to gain exposure to multiple assets in a single investment.